

Amid rising inflation, RBI cannot neglect growth

Original Editorial

THIS WEEK, the Reserve Bank of India's Monetary Policy Committee will **deliberate** on fine-tuning its **stance** on the repo rate -- the interest rate at which India's central bank lends money to commercial banks. Typically, when prices threaten to rise at a rate faster than what the RBI finds **prudent**, the central bank raises the repo rate to **contain** inflation. On the face of it, India is facing such a phase, with the war in Iran and the **blockade** of the Strait of Hormuz keeping the prices of crude oil and other **critical** imports high. Not surprisingly, inflation has started rising quickly. Wholesale inflation has already crossed the 8 per cent mark, and it's only a matter of time before its effects **filter** through as higher retail inflation for consumers. Retail inflation has already spiked to 3.5 per cent after the RBI had brought it down to 2 per cent in the last financial year. Moreover, a weak monsoon could affect the farm sector and raise food prices. Most economists outside the RBI and the government expect retail inflation to rise further to 5 per cent and stay at that level for the rest of the year. Given that the RBI targets a retail inflation rate of 4 per cent, many do not rule out a repo rate hike.

However, the RBI's choice may not be as **straightforward** as it seems. For one, the current rise in prices **stems** from a lack of supply of crude oil and other products. In the short term, there is little that the RBI can do to boost crude oil supplies. Raising interest rates may **dampen** India's growth **momentum** at a time when it needs a more **conducive** environment. A US-Iran peace agreement, resulting in a swift boost to oil supplies and a quick **moderation** in oil prices, cannot also be ruled out completely. Also, at 5 per cent, inflation would still be within the RBI's comfort band of 2 to 6 per cent.

The more important issues to watch this week will be the RBI Governor's commentary on the state of the economy. Two issues will be of particular interest. One, the rupee's exchange rate. Does the RBI want to **prioritise** maintaining an **adequate** amount of forex reserves and let the rupee find its own level, or is it willing to draw down these reserves

to ensure that the rupee doesn't slide beyond a certain point? Two, what needs to be done for India to attract foreign capital. The RBI's stance will be keenly watched.

Article Summary

The editorial explores the upcoming meeting of the RBI's Monetary Policy Committee amid rising inflationary pressures driven by geopolitical conflicts (like the Iran situation), global supply bottlenecks, and potential agricultural constraints due to weak monsoons. While traditional economics suggests a repo rate hike to curb inflation, the RBI faces a critical dilemma: tightening monetary policy might stifle India's economic growth when a conducive environment is most needed. Because the current inflation is primarily supply-driven rather than demand-driven, the central bank's tools are limited in effectiveness. Consequently, market watchers are shifting their focus from interest rate decisions to the RBI's strategies for managing forex reserves, stabilizing the rupee's exchange rate, and attracting foreign investment.

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Editorial Anatomy

Core Issue: Surging Inflation



Primary Drivers: Global Oil Supply Constraints & Geopolitics



The RBI Dilemma: Curbing Inflation vs. Sustaining Growth



Key Watch Areas: Rupee Exchange Rate & Foreign Capital Inflow

Vocabulary Builder: 15 Difficult & Important Words

Word (PoS)	Meaning (Hindi / English)	Synonyms (5)	Antonyms (5)
deliberate (Verb)	विचार-विमर्श करना To think about or discuss issues carefully.	ponder, consider, contemplate, debate, reflect	ignore, neglect, disregard, rush, overlook
stance (Noun)	दृष्टिकोण / रवैया The attitude of a person or organization towards something.	position, attitude, viewpoint, standpoint, posture	unsteadiness, neutrality, indifference, indecision, uncertainty
prudent (Adjective)	विवेकी / समझदार Acting with or showing	wise, sensible, cautious, careful, shrewd	foolish, reckless, careless, unwise, imprudent

Word (PoS)	Meaning (Hindi / English)	Synonyms (5)	Antonyms (5)
	care and thought for the future.		
contain (Verb)	नियंत्रित करना To prevent from increasing or spreading.	control, curb, restrain, limit, suppress	release, expand, unleash, encourage, free
blockade (Noun)	नाकेबंदी An act of sealing off a place to prevent goods or people from entering or leaving.	barrier, siege, barricade, obstruction, restriction	opening, clearance, access, permission, release
critical (Adjective)	महत्वपूर्ण / संकटपूर्ण Having a decisive or crucial importance in the success or failure of something.	crucial, vital, essential, important, key	trivial, unimportant, insignificant, minor, negligible
filter (Verb)	धीरे-धीरे पहुँचना To pass or move gradually (as through a system).	seep, trickle, penetrate, percolate, pass	pour, flood, block, stop, rush
straightforward (Adjective)	सीधा / सरल Uncomplicated and easy to do or understand.	simple, easy, direct, clear, uncomplicated	complex, complicated, confusing, difficult, ambiguous
stems (Verb)	उत्पन्न होना To originate in or be caused by.	originates, arises, derives, springs, proceeds	ends, terminates, concludes, finishes, stops
dampen (Verb)	कम करना / निरुत्साहित करना Make less strong or intense.	lessen, decrease, diminish, stifle, suppress	increase, boost, encourage, amplify, stimulate
momentum (Noun)	गति / संवेग The impetus gained by a moving object or process.	impetus, drive, energy, force, push	lethargy, stagnation, weakness, hesitation, slowing
conducive (Adjective)	अनुकूल / सहायक Making a certain situation		

Word (PoS)	Meaning (Hindi / English)	Synonyms (5)	Antonyms (5)
	or outcome likely or possible.	favorable, beneficial, advantageous, helpful, encouraging	unfavorable, hostile, adverse, detrimental, hindering
moderation (Noun)	संतुलन / कमी The avoidance of excess or extremes; lessening of intensity.	reduction, easing, lessening, balance, restraint	increase, extreme, intensification, excess, aggravation
prioritise (Verb)	प्राथमिकता देना Determine the order for dealing with according to their relative importance.	prefer, highlight, rank, feature, favor	neglect, ignore, sideline, forget, overlook
adequate (Adjective)	पर्याप्त Satisfactory or acceptable in quality or quantity.	sufficient, enough, ample, satisfactory, acceptable	insufficient, inadequate, lacking, scarce, poor

Additional Important Words & Parts of Speech

- **Inflation** — Noun (The action of inflating or the condition of being inflated; a general increase in prices).
- **Quickly** — Adverb (At a fast speed; rapidly).
- **Commercial** — Adjective (Concerned with or engaged in commerce).
- **Completely** — Adverb (Totally; utterly).
- **Keenly** — Adverb (Intensely or sharply).

Idioms and Phrases

1. On the face of it

Meaning: Superficially; as it appears at first glance without looking deeply.

Example: On the face of it, the proposal looks like a fantastic deal for the company, but hidden costs might exist.

2. Matter of time

Meaning: Used to say that something is certain to happen eventually.

Example: With his reckless driving, it is only a matter of time before he gets into an accident.

3. Rule out

Meaning: To exclude something from consideration; to decide that something is impossible.

Example: The police have completely ruled out foul play in their initial investigation.

4. Draw down

Meaning: To reduce the size or amount of a resource, usually by using it.

Example: The government had to draw down its emergency reserves to cope with the pandemic.

Fill in the Blanks

1. The monetary policy committee will thoroughly _____ on the proposed changes before finalizing the strategy.

- A) disregard
- B) expedite
- C) ponder
- D) reject
- E) overlook

2. An unexpected increase in interest rates might _____ the industrial expansion planned for the next quarter.

- A) amplify
- B) stimulate
- C) ignite
- D) stifle
- E) elevate

3. Authorities introduced stringent measures to _____ the massive surge in urban pollution levels.

- A) expand
- B) curb
- C) provoke
- D) unleash
- E) escalate

4. Startups thrive when the government provides a highly _____ regulatory framework for innovation.

- A) hostile
- B) unfavorable
- C) detrimental
- D) adverse
- E) favorable

5. The ongoing shortage of essential medical supplies _____ primarily from significant disruptions in global shipping.

- A) concludes
- B) terminates
- C) originates
- D) finishes
- E) halts

Error Detection

6. (A) The Reserve Bank of India's / (B) Monetary Policy Committee will / (C) deliberates on fine-tuning / (D) its stance on the repo rate. / (E) No Error.

7. (A) Typically, when prices threatens to rise / (B) at a rate faster than / (C) what the RBI finds prudent, / (D) the central bank raises the repo rate. / (E) No Error.

8. (A) Wholesale inflation has already / (B) crossed the 8 per cent mark, / (C) and it's only a matters of time / (D) before its effects filter through. / (E) No Error.

9. (A) Raising interest rates / (B) may dampen India's growth momentum / (C) at a time when it needs / (D) a much conducive environment. / (E) No Error.

10. (A) The more important issues to watch / (B) this week will be the / (C) RBI Governor's commentary / (D) on the state of the economy. / (E) No Error.

Reading Comprehension

Paragraph 1: Typically, when prices threaten to rise at a rate faster than what the RBI finds prudent, the central bank raises the repo rate to contain inflation. On the face of it, India is facing such a phase, with the war in Iran and the blockade of the Strait of Hormuz keeping the prices of crude oil and other critical imports high. Wholesale inflation has already crossed the 8 per cent mark, and it's only a matter of time before its effects filter through as higher retail inflation for consumers. Retail inflation has already spiked to 3.5 per cent, and most economists expect it to rise further to 5 per cent and stay at that level for the rest of the year.

Paragraph 2: However, the RBI's choice may not be as straightforward as it seems. For one, the current rise in prices stems from a lack of supply of crude oil and other products. In the short term, there is little that the RBI can do to boost crude oil supplies. Raising interest rates may dampen India's growth momentum at a time when it needs a more conducive environment. Furthermore, key issues to watch will be the RBI Governor's commentary on managing the rupee's exchange rate and determining what needs to be done to attract foreign capital.

11. What is the primary external factor cited for keeping the prices of critical imports high?

- A) A steep increase in domestic consumer demand across the nation.
- B) The geopolitical conflict in Iran and the Strait of Hormuz blockade.
- C) The RBI's previous decision to drastically cut the repo rate to 2%.
- D) Unprecedented tax hikes imposed on crude oil by the government.
- E) The failure of the domestic agricultural sector due to severe flooding.

12. According to the passage, what might be the negative consequence of raising interest rates?

- A) It would immediately double the retail inflation rate.
- B) It might suppress India's essential economic growth momentum.
- C) It will cause an instant depreciation of the rupee's exchange rate.
- D) It would lead to a surplus of crude oil supplies in the domestic market.
- E) It will force foreign investors to immediately pull out their capital.

13. Why is the central bank's ability to fix the current inflation described as limited in the short term?

- A) Because it lacks the constitutional authority to change monetary policies.
- B) Because the inflation originates from external supply-side constraints.
- C) Because wholesale inflation has not yet crossed the 8 per cent threshold.
- D) Because economists advise against any intervention by the central bank.
- E) Because forex reserves have been completely depleted by recent policies.

14. What level do most economists anticipate retail inflation will reach and maintain for the rest of the year?

- A) 2 per cent.
- B) 3.5 per cent.
- C) 4 per cent.
- D) 5 per cent.
- E) 8 per cent.

15. Aside from interest rates, what other major issue will the RBI Governor's commentary likely address?

- A) The privatization of commercial banks in the upcoming financial year.
- B) The structural reforms needed in the agricultural sector post-monsoon.
- C) The management of the rupee's exchange rate and foreign capital attraction.
- D) The detailed budget allocation for domestic crude oil exploration.
- E) The implementation of strict price controls on essential consumer goods.

Answers & Explanations

Fill in the Blanks Answers

1. Answer: C) ponder

Explanation: The original word in the editorial is "deliberate", which means to think about carefully. "Ponder" is the most appropriate synonym among the options.

2. Answer: D) stifle

Explanation: The original word is "dampen", meaning to make less strong. "Stifle" perfectly captures the idea of suppressing or holding back growth.

3. Answer: B) curb

Explanation: The original text uses "contain" in the context of inflation. "Curb" means to restrain or keep in check, which fits the context ideally.

4. Answer: E) favorable

Explanation: The editorial uses "conducive", which means providing the right conditions for something to happen. "Favorable" is the exact synonym for this positive context.

5. Answer: C) originates

Explanation: The original sentence uses "stems", meaning to arise from or be caused by. "Originates" is the correct choice here.

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Error Detection Answers

6. Answer: (C)

Explanation: The error lies in part (C). With the modal verb 'will', the base form of the verb should be used. "will deliberate" is correct, not "will deliberates".

7. Answer: (A)

Explanation: The error is in part (A). "Prices" is plural, so it should take a plural verb. It should be "prices threaten", not "prices threatens".

8. Answer: (C)

Explanation: The phrase is "a matter of time", not "a matters of time". Therefore, the error is in part (C).

9. Answer: (D)

Explanation: The error is in part (D). "Conducive" is an adjective that should be modified by 'more' to form the comparative degree in this context. It should be "a more conducive environment", not "much conducive".

10. Answer: (E)

Explanation: There is no grammatical or structural error in this sentence. The sentence is absolutely correct.

Reading Comprehension Answers

11. Answer: B) The geopolitical conflict in Iran and the Strait of Hormuz blockade.

Explanation: Paragraph 1 explicitly states that India is facing a phase where "the war in Iran and the blockade of the Strait of Hormuz [are] keeping the prices of crude oil and other critical imports high."

12. Answer: B) It might suppress India's essential economic growth momentum.

Explanation: Paragraph 2 mentions, "Raising interest rates may dampen India's growth momentum at a time when it needs a more conducive environment."

13. Answer: B) Because the inflation originates from external supply-side constraints.

Explanation: Paragraph 2 highlights that "the current rise in prices stems from a lack of supply of crude oil and other products" and that the RBI can do little to boost these supplies in the short term.

14. Answer: D) 5 per cent.

Explanation: Paragraph 1 notes that "most economists expect it to rise further to 5 per cent and stay at that level for the rest of the year."

15. Answer: C) The management of the rupee's exchange rate and foreign capital attraction.

Explanation: The final paragraph explicitly mentions two issues of particular interest for the Governor's commentary: the rupee's exchange rate and what needs to be done to attract foreign capital.

"Education is the passport to the future, for tomorrow belongs to those who prepare for it today." – Malcolm X

"Gratitude turns what we have into enough. Thank you for your continued dedication to learning and growing!"

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